

Money I don't have. Sure, I could use my profits to do this, but I have a life to live, so that's out of the question.

The next option is getting a loan from a bank, but a loan means paying it back, with interest on top of it. Compound interest is fun when you get the compounding benefits, but it's not so fun when it's a loan you have to pay back.

So what does a business owner like myself do to raise some extra cash? I could sell some shares (or stocks, the two terms mean the same thing) in my company. This means breaking my company into pieces, or shares — it can be any number, 1000 or a million — and then selling these shares to investors.

This process is called an IPO, or initial public offering. It's basically when companies get to shout from the rooftop that they're going from a private company to a public one. Have you ever seen a CEO ringing a bell at the New York Stock Exchange with balloons behind them? This is the moment they officially 'go public'. This is why you can buy shares of some companies, such as Coca-Cola, but not of your locally owned café or fish and chips shop. Coca-Cola is public, but the local fish and chips shop is still a private company.

The benefit of becoming a public company is that I make money from selling shares to investors, and I don't need to pay it back — it's a sweet deal.

When Twitter (now known as X), was expanding, it decided to have an IPO in September 2013. They worked with Goldman Sachs to get it done. (Fun fact, if you ever wondered what on earth investment bankers do, part of their job is to hold the hand of a company through the IPO process, helping them choose what share price to set the IPO at, etc.)

Twitter had not yet turned a profit by the time it was about to launch its IPO, but it ended up being the most anticipated IPO of the year. It was a huge success, raising the company \$2.1 billion. It made co-founders Jack Dorsey and Biz Stone instant billionaires. (Another fun fact: Jack Dorsey left Twitter in 2022 to pursue his passion for cryptocurrency.)

The company used a lot of the cash to reinvest in the company, expanding their hardware, acquiring other companies, and majorly re-designing their